

Cluster: Business Software Applications
Theme: HR System



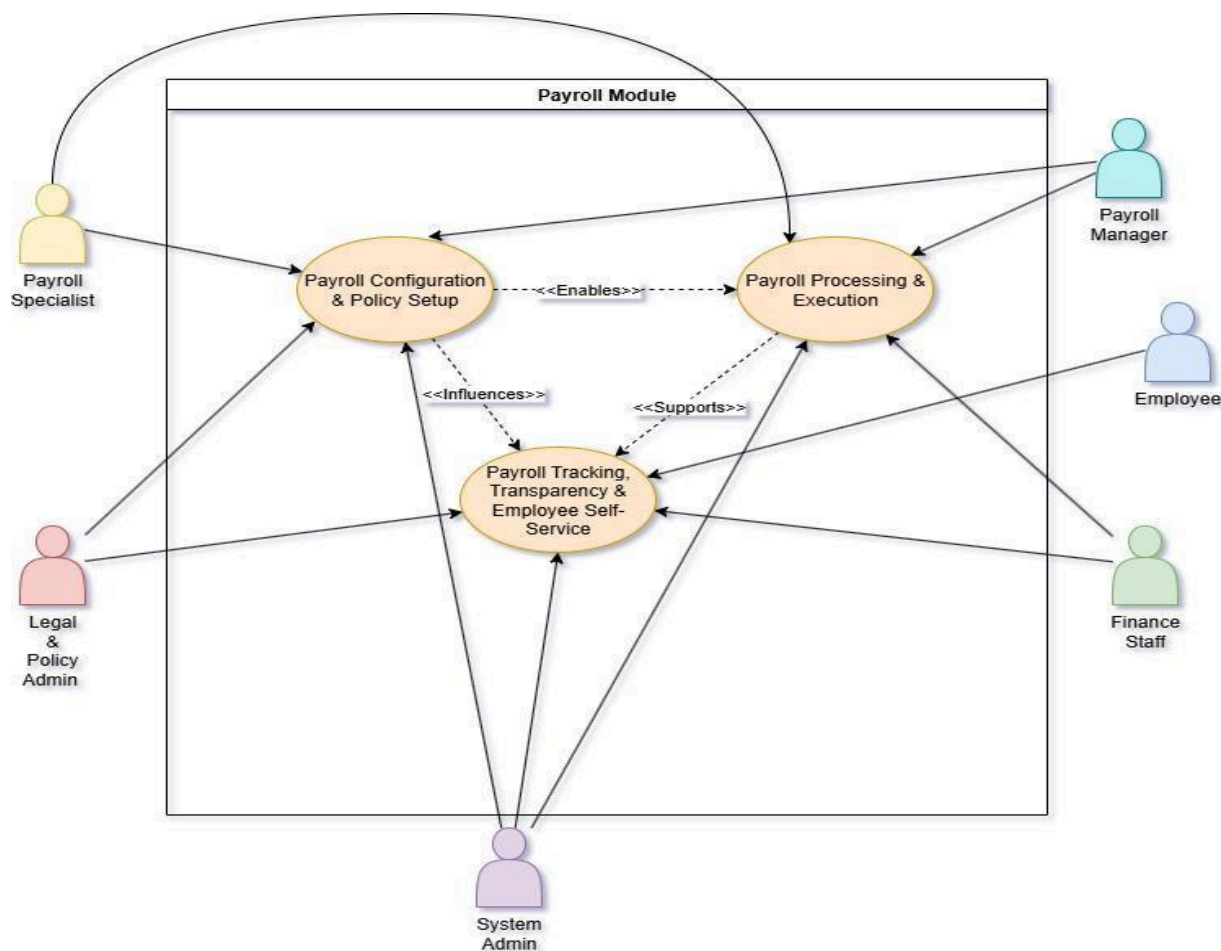
Human Capital Management - Payroll

FUNCTIONAL SPECIFICATION DOCUMENT

Prepared by *Faculty of Management Technology* - Sept 2025

Executive Summary

The Payroll Module is a core component of the HR system that automates and secures the entire payroll process, from importing employee data and calculating salaries to managing deductions, benefits, and final disbursements. It enables payroll administrators to ensure timely and accurate payments, compliance with tax and labor regulations, and seamless integration with accounting and banking systems. Managers gain oversight through payroll summaries, approval workflows, and financial alignment, while employees access self-service features to view payslips, track earnings, and manage tax documents. With built-in policy compliance, secure role-based access, automated notifications, audit trails, and comprehensive reporting, the module enhances accuracy, transparency, and efficiency in compensation management, supporting both employee satisfaction and institutional accountability.



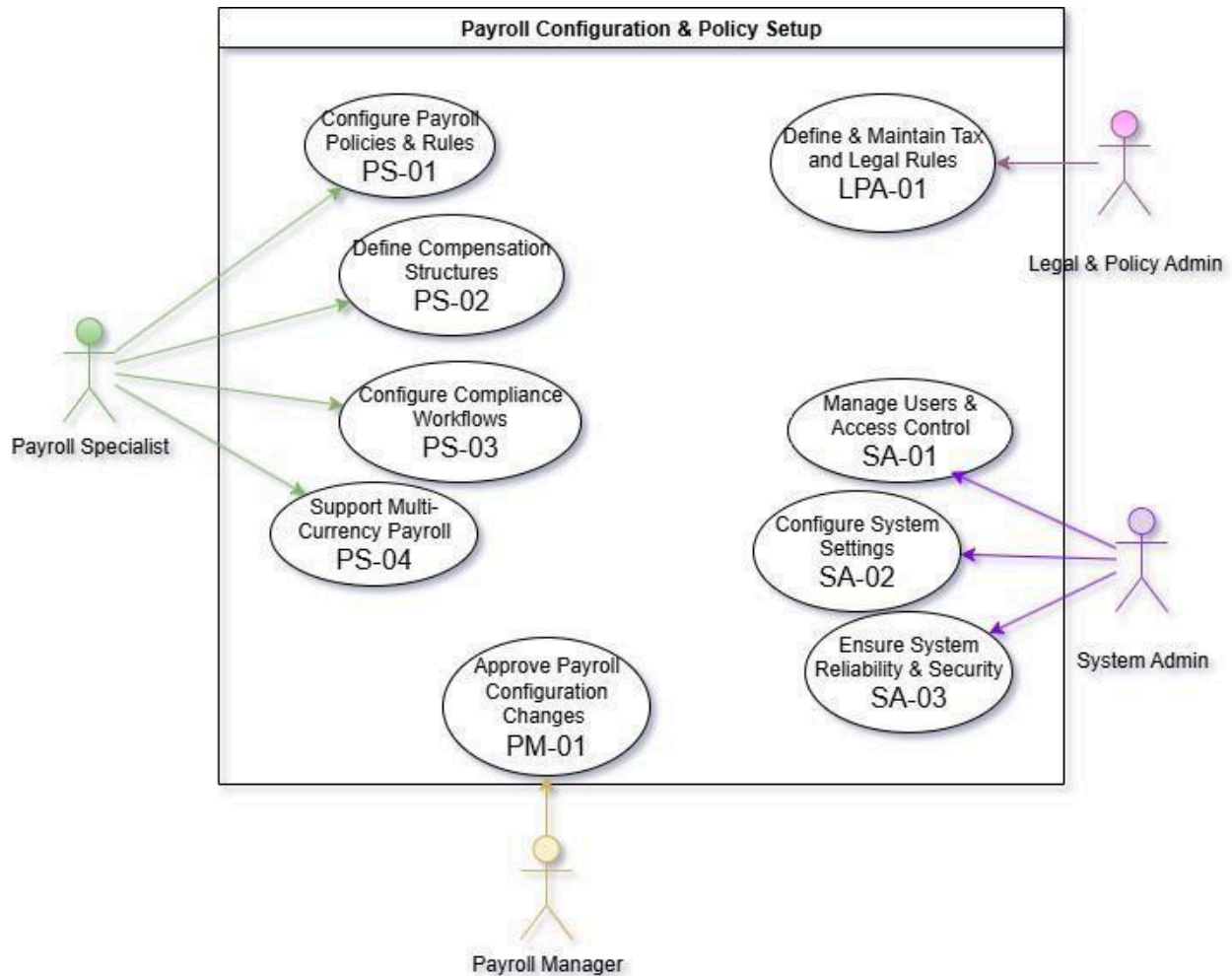
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Business Processes

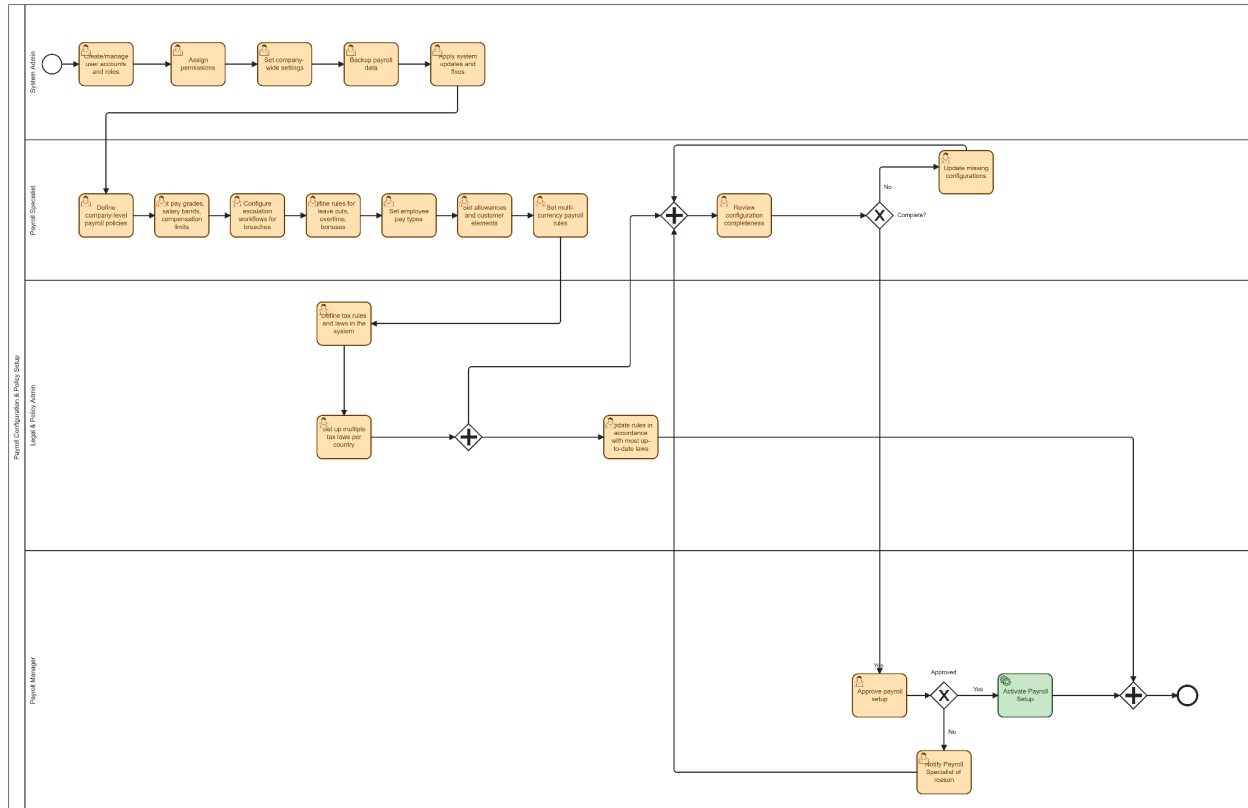
1. Payroll Configuration & Policy Setup

This business process covers the initial and ongoing setup of payroll rules, ensuring that the system reflects the organization's compensation structure, benefits policies, and statutory requirements. It includes defining salary structures based on employee contract types, setting up allowances and deductions (such as transportation, bonuses, taxes, and insurance), and configuring rules for overtime, unpaid leave, misconduct penalties, and overpayment recovery. Legal and policy requirements must also be embedded into the system, ensuring compliance with tax codes, labor laws, and organizational regulations. The system should support role-based access, allowing authorized payroll administrators to configure rules while restricting sensitive data. Audit trails must be automatically recorded for any changes to policies or payroll setups, ensuring accountability and compliance. This setup use case establishes the foundation upon which accurate and compliant payroll execution can occur.

1.1. Use Cases



1.2. Business Process



[Payroll Configuration & Policy Setup.png](#)

1.3. User Stories

Requirement ID	Epic	User Story Summary
REQ-PY-1	Payroll Configuration & Policy Setup	As a Payroll Specialist, I want to configure company-level payroll policies (e.g., basic salary types, misconduct penalties, leave policies, allowance) so that the system enforces organizational rules consistently.
REQ-PY-2	Payroll Configuration & Policy Setup	As a Payroll Specialist, I want to define pay grades, salary bands, and compensation limits so that managers and payroll specialists cannot exceed policy boundaries.
REQ-PY-3	Payroll Configuration & Policy Setup	As a Payroll Specialist, I want to configure escalation workflows (e.g., if a deduction exceeds a threshold, require Payroll manager approval) so that policy breaches are controlled.
REQ-PY-4	Payroll Configuration & Policy Setup	As a Payroll Specialist, I want to ensure leave, overtime, and bonuses are calculated within policy-defined caps so that there's no overpayment risk.
REQ-PY-5	Payroll Configuration & Policy Setup	As a Payroll Specialist, I want the system to define employee pay types (hourly, daily, weekly, monthly, contract-based) so that salaries are calculated according to the employment agreement.
REQ-PY-6	Payroll Configuration & Policy Setup	As a Payroll Specialist, I want the system to configure overtime rules (e.g., 1.25x on weekdays, 1.5x on weekends, 2x on public holidays) so that extra work is compensated fairly.
REQ-PY-7	Payroll Configuration & Policy Setup	As a Payroll Specialist, I want the system to set shift differentials or allowances (e.g., night shifts, hazardous work allowance) so that employees are rewarded for special conditions.
REQ-PY-8	Payroll Configuration & Policy Setup	As a Payroll Specialist, I want the system to support multi-currency payroll so that international or expat employees can be paid correctly.
REQ-PY-9	Payroll Configuration & Policy Setup	As a Payroll Specialist, I want to be able to configure/add new integrated elements that affect deductions/increases in payslips automatically.
REQ-PY-10	Payroll Configuration & Policy Setup	As a legal & policy admin, I want to define tax rules and laws in the system (e.g., progressive tax rates, exemptions, thresholds) so that payroll always complies with current legislation.

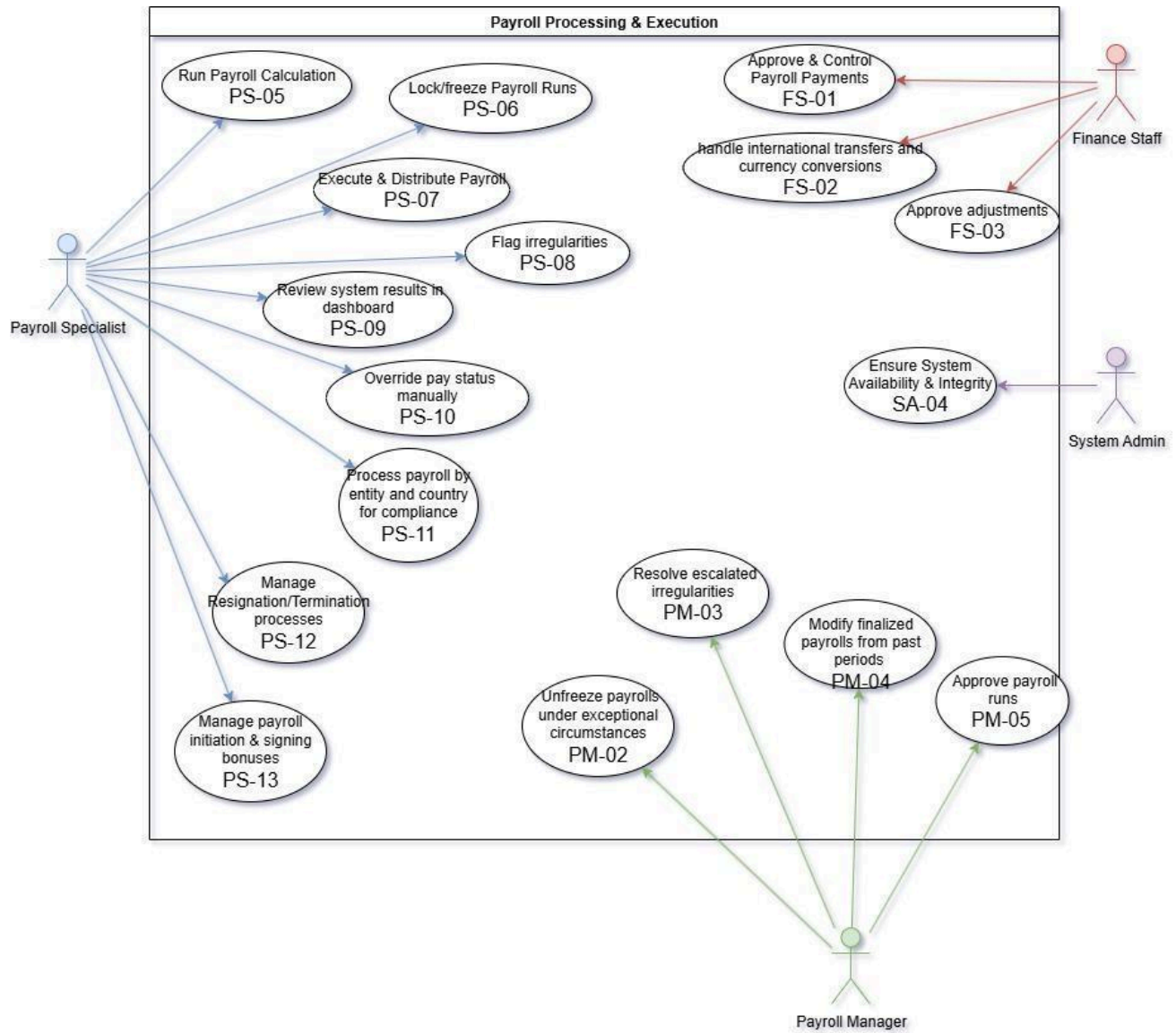
REQ-PY-11	Payroll Configuration & Policy Setup	As a legal & policy admin, I want to be able to define multiple tax slices depending on the country to provide multinational coverage
REQ-PY-12	Payroll Configuration & Policy Setup	As a legal & policy admin, I want to update legal rules when laws change, so that future payroll cycles are compliant without manual intervention.
REQ-PY-13	Payroll Configuration & Policy Setup	As a System Admin, I want to create and manage user accounts and roles so that only the right people can access payroll data.
REQ-PY-14	Payroll Configuration & Policy Setup	As a System Admin, I want to set permissions (who can view, edit, approve) so payroll data stays secure.
REQ-PY-15	Payroll Configuration & Policy Setup	As a System Admin, I want to set company-wide settings (like pay dates, time zone, and currency) so payroll runs correctly.
REQ-PY-16	Payroll Configuration & Policy Setup	As a System Admin, I want to back up data regularly so nothing is lost.
REQ-PY-17	Payroll Configuration & Policy Setup	As a System Admin, I want to apply updates and fixes so the system stays safe and up to date.
REQ-PY-18	Payroll Configuration & Policy Setup	As a Payroll Manager, I want to approve payroll module configuration changes so that no unauthorized adjustments impact payroll calculations.
REQ-PY-19	Payroll Configuration & Policy Setup	As a Payroll Specialist, I want to configure policies for signing bonuses and payroll initiation, so that new hires are seamlessly incorporated into the company's payroll system.
REQ-PY-20	Payroll Configuration & Policy Setup	As a Payroll Specialist, I want to configure resignation and termination compensations and benefits and their terms, so that the offboarding process for employees is seamless and legally compliant.

REQ-PY-21	Payroll Configuration & Policy Setup	As a Payroll Specialist, I want to configure insurance brackets (e.g., health, pension, unemployment) with defined salary ranges and contribution percentages for both employer and employee, so that the system automatically applies the correct insurance deductions during payroll processing in compliance with policy and law.
REQ-PY-22	Payroll Configuration & Policy Setup	As an HR Manager, I want to review and update insurance bracket configurations when policies or regulations change, so that payroll calculations remain accurate, compliant, and reflect the most current insurance requirements.

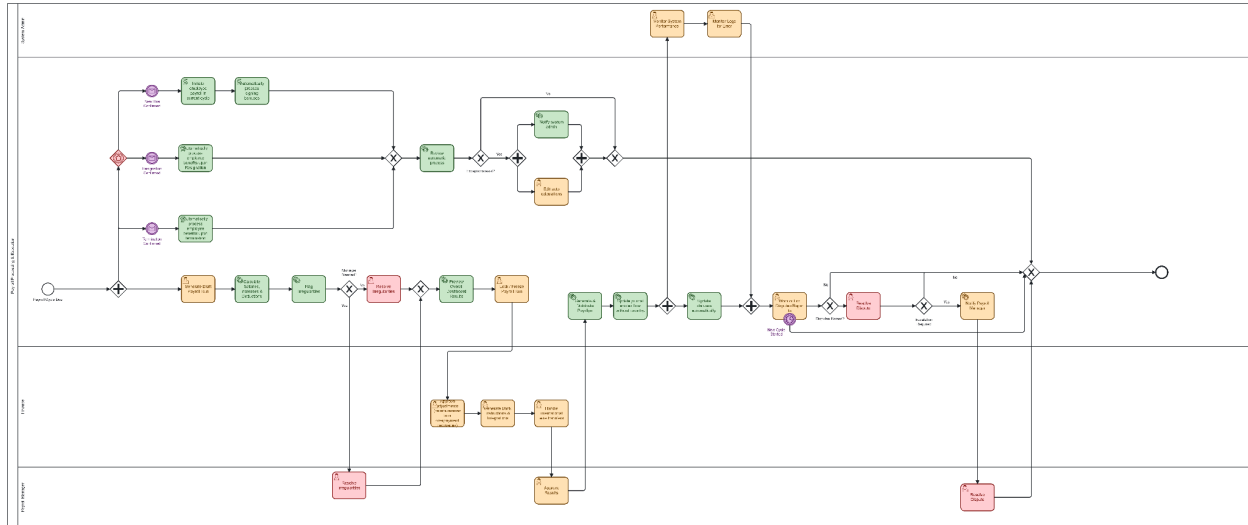
2. Payroll Processing & Execution

This business process governs the monthly or periodic operation of payroll, where employee data is processed into finalized salaries. Payroll specialists initiate payroll runs, which calculate gross earnings, apply all configured allowances and deductions, and produce net salaries. The system must allow simulations of payroll results before confirmation, enabling payroll specialists to identify anomalies and make corrections prior to execution. Once validated, the payroll batch can be locked, approved, and passed on for payment processing, with integration to financial systems or banks for direct salary transfers. The system should handle exceptions, such as payment failures, retroactive adjustments, or disputed payslips, while maintaining full traceability of actions taken. Security controls ensure that only authorized personnel can finalize or execute payroll runs, and that data integrity is protected throughout the process. This use case ensures that salaries are processed accurately, on time, and in full compliance with both company policies and external regulations.

2.1. Use Cases



2.2. Business Process



[Payroll Processing & Execution.png](#)

2.3. User Stories

Requirement ID	Epic	User Story Summary
REQ-PY-1	Payroll Processing & Execution	As a Payroll Specialist, I want the system to automatically calculate salaries, allowances, deductions, and contributions based on configured rules so that I don't need to run calculations manually.
REQ-PY-2	Payroll Processing & Execution	As a Payroll Specialist, I want the system to calculate prorated salaries (for mid-month hires, terminations, unpaid leave) so that payments are accurate for partial periods.
REQ-PY-3	Payroll Processing & Execution	As a Payroll Specialist, I want the system to auto-apply statutory rules (income tax, pension, insurance, labor law deductions) so that compliance is ensured without manual intervention.
REQ-PY-4	Payroll Processing & Execution	As a Payroll Specialist, I want the system to generate draft payroll runs automatically at the end of each cycle so that I only need to review and approve.
REQ-PY-5	Payroll Processing & Execution	As a Payroll Specialist, I want the system to flag irregularities (e.g., sudden salary spikes, missing bank accounts, negative net pay) so that I can take required action.
REQ-PY-6	Payroll Processing & Execution	As a Payroll Specialist, I want to review system-generated payroll results in a preview dashboard so that I can confirm accuracy before finalization.
REQ-PY-7	Payroll Processing & Execution	As a Payroll Specialist, I want to lock or freeze finalized payroll runs so that no unauthorized retroactive changes are made.
REQ-PY-8	Payroll Processing & Execution	As a Payroll Specialist, I want the system to automatically generate and distribute employee payslips (via PDF, email, or portal) so that staff can access their salary details securely.
REQ-PY-9	Payroll Processing & Execution	As a Payroll Specialist, I want payroll results to integrate directly with the Finance/Accounting system so that payments and journal entries flow without re-entry.
REQ-PY-10	Payroll Processing & Execution	As a Payroll Specialist, I want the system to automatically update the status of employee payments (e.g., Pending, Processed, Paid, Failed) based on integration with the bank/finance system, so that I don't need to manually track or reconcile payments.

Requirement ID	Epic	User Story Summary
REQ-PY-11	Payroll Processing & Execution	As a Payroll Specialist, I want to override or update pay status manually (with proper authorization) in special cases, so that payroll records remain accurate when exceptions occur.
REQ-PY-12	Payroll Processing & Execution	As a Payroll Specialist, I want to send the payroll run for approval to Manager and Finance before finalization so that payments are not made without validation.
REQ-PY-13	Payroll Processing & Execution	As a Payroll Specialist, I want to generate bank payment instructions directly from payroll so that salaries are paid without manual data entry.
REQ-PY-14	Payroll Processing & Execution	As a Payroll Specialist, I want to process payroll by entity and country so that compliance with local regulations is maintained.
REQ-PY-15	Payroll Processing & Execution	As Finance Staff, I want to approve payroll disbursements before execution, so that no incorrect payments are made.
REQ-PY-16	Payroll Processing & Execution	As Finance Staff, I want to handle international wire transfers and currency conversions, so that global employees are paid without issues.
REQ-PY-17	Payroll Processing & Execution	As Finance Staff, I want to approve adjustments (like reimbursements or overpayment recoveries), so that corrections are financially accurate.
REQ-PY-18	Payroll Processing & Execution	As a System Admin, I want to make sure the system is always running (monitor uptime, performance) so payroll is not delayed.
REQ-PY-19	Payroll Processing & Execution	As a Payroll Manager, I want the authority to unfreeze payrolls under exceptional circumstances so that legitimate corrections can still be made even after a payroll has been locked.
REQ-PY-20	Payroll Processing & Execution	As a Payroll Manager, I want to resolve escalated irregularities reported by Payroll Specialists so that payroll exceptions are addressed at a higher decision level.
REQ-PY-21	Payroll Processing & Execution	As a Payroll Manager, I want the ability to modify finalized payrolls from past periods under authorized circumstances so that compliance and accuracy are maintained when retroactive changes are necessary.

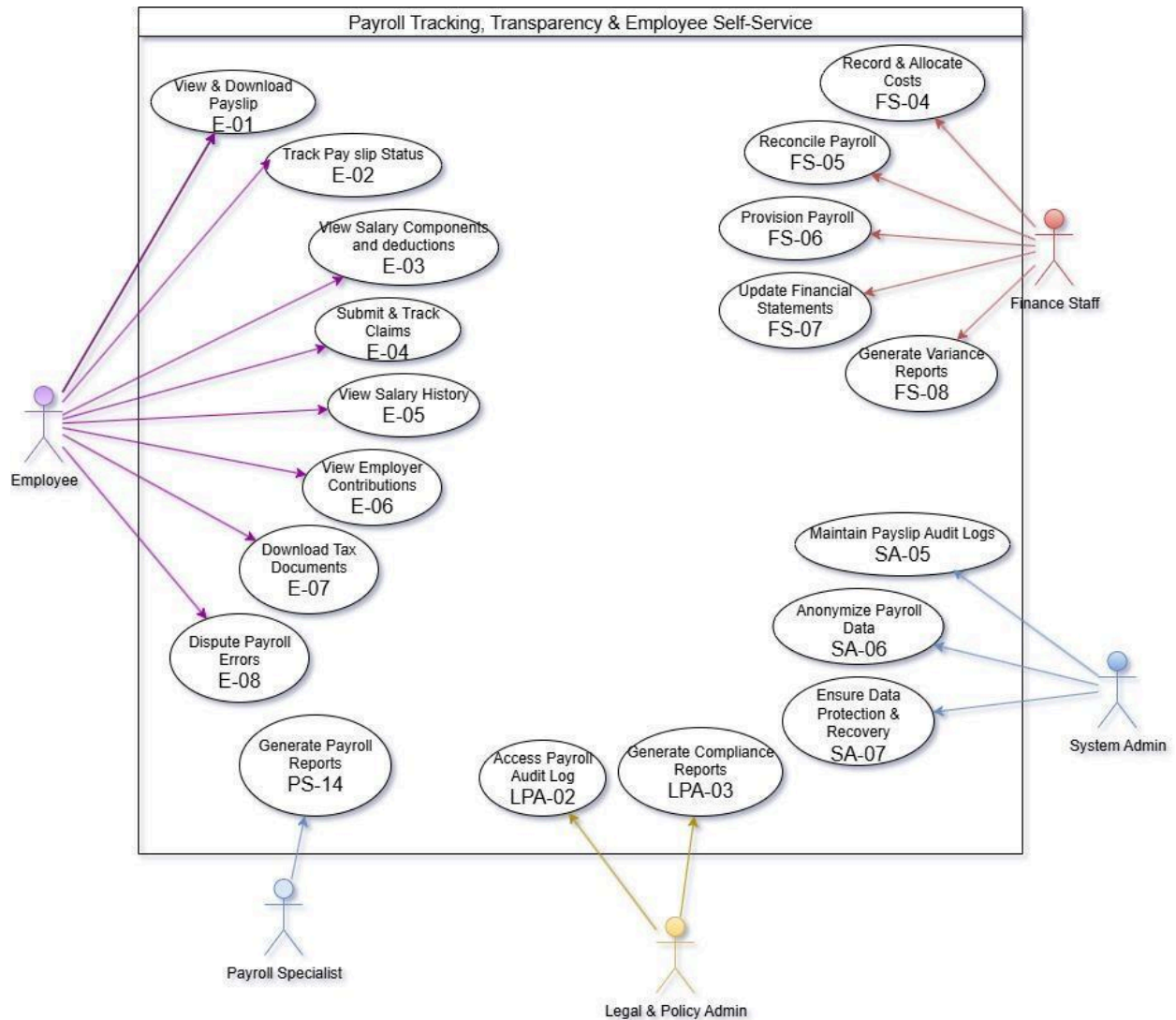
Requirement ID	Epic	User Story Summary
REQ-PY-22	Payroll Processing & Execution	As a Payroll Manager, I want to approve payroll runs so that validation is ensured at the managerial level prior to distribution.
REQ-PY-23	Payroll Processing & Execution	As a Payroll Specialist, I want the system to automatically process payroll initiation.
REQ-PY-24	Payroll Processing & Execution	As a Payroll Specialist, I want to review and approve processed payroll initiation.
REQ-PY-26	Payroll Processing & Execution	As a Payroll Specialist, I want to manually edit payroll initiation when needed.
REQ-PY-27	Payroll Processing & Execution	As a Payroll Specialist, I want the system to automatically process signing bonuses.
REQ-PY-28	Payroll Processing & Execution	As a Payroll Specialist, I want to review and approve processed signing bonuses.
REQ-PY-29	Payroll Processing & Execution	As a Payroll Specialist, I want to manually edit signing bonuses when needed.
REQ-PY-30	Payroll Processing & Execution	As a Payroll Specialist, I want the system to automatically process benefits upon resignation according to business rules & signed contracts.
REQ-PY-31	Payroll Processing & Execution	As a Payroll Specialist, I want to review and approve processed benefits upon resignation.
REQ-PY-32	Payroll Processing & Execution	As a Payroll Specialist, I want to manually edit benefits upon resignation when needed.
REQ-PY-33	Payroll Processing & Execution	As a Payroll Specialist, I want the system to automatically process benefits upon termination according to business rules & signed contracts.

Requirement ID	Epic	User Story Summary
REQ-PY-34	Payroll Processing & Execution	As a Payroll Specialist, I want to review and approve processed benefits upon termination..
REQ-PY-35	Payroll Processing & Execution	As a Payroll Specialist, I want to manually edit benefits upon termination when needed.

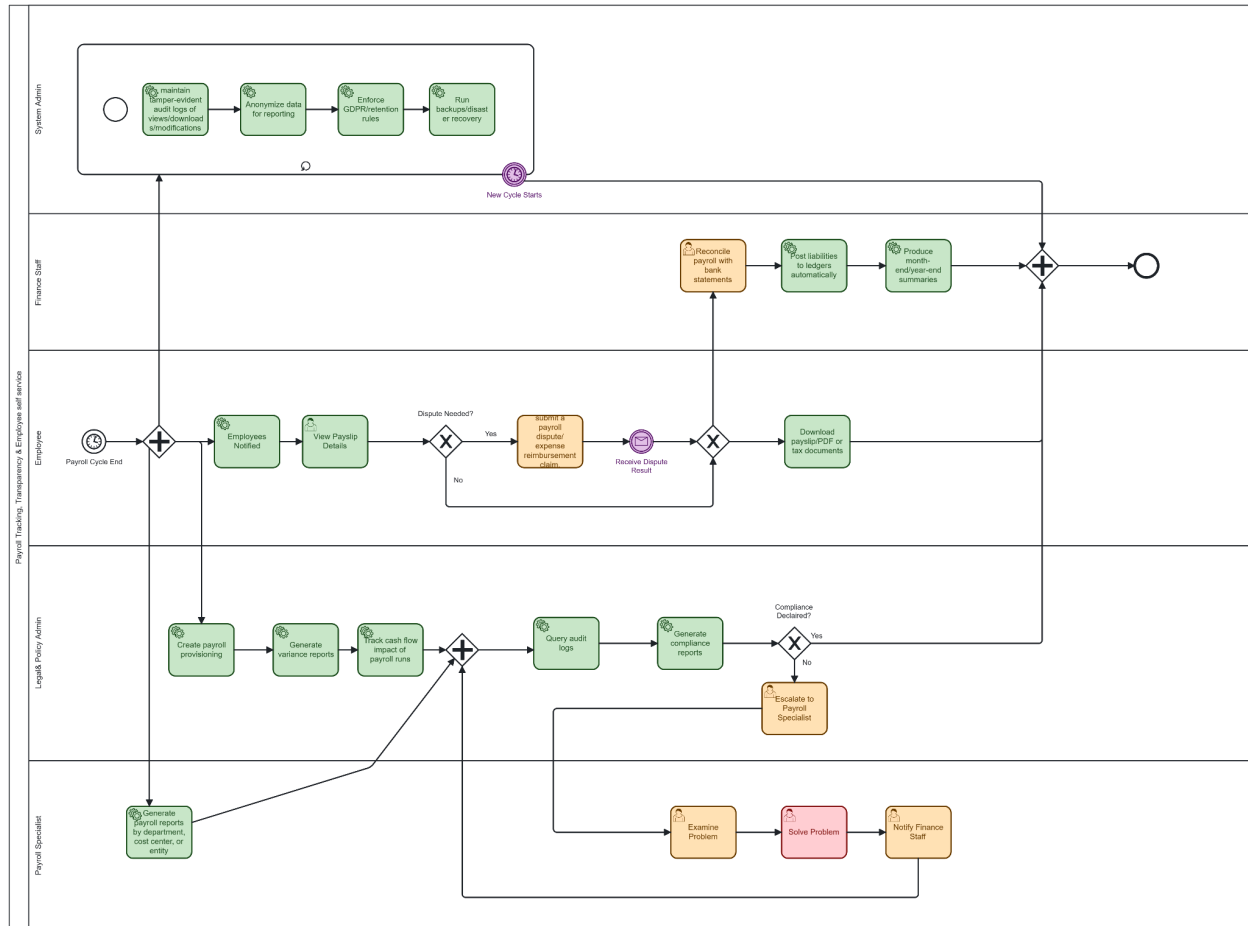
3. Payroll Tracking, Transparency & Employee Self-Service

This business process focuses on employee-facing and oversight features, ensuring transparency, accessibility, and trust in the payroll system. Employees must be able to securely access their payslips online, with detailed breakdowns of salary components, deductions, and adjustments. They should also be able to track the real-time status of their payroll, whether pending calculation, under review, processed, or paid, much like a progress tracker. Additionally, the system should allow employees to download historical payslips, generate tax or insurance certificates, and submit inquiries or disputes related to their salary. From an oversight perspective, legal and policy administrators and auditors can review payroll reports, verify compliance with labor and tax regulations, and monitor for irregularities. To support accountability, the system maintains full audit logs of who accessed or modified payroll records, ensuring security and trustworthiness. This business process closes the loop by empowering employees, enhancing transparency, and embedding compliance oversight into the payroll lifecycle.

3.1. Use Cases



3.2.BusinessProcess



[Payroll Tracking, Transparency & Employee Self-Service.png](#)

3.3 User Stories

Requirement ID	Epic	User Story Summary
REQ-PY-1	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to view and download my payslip online so that I can see my monthly salary
REQ-PY-2	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to see the real-time status and details of my payslip (e.g., pending, under review, processed, paid, disputed) so that I know exactly where my salary is in the payroll process and can plan accordingly.
REQ-PY-3	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to see my base salary according to my employment contract (full-time, part-time, temporary, etc.), so that I know my standard monthly earnings.
REQ-PY-4	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to view any company shares or profit-sharing payouts, so that I can track additional income from equity programs.
REQ-PY-5	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to see compensation for unused or encashed leave days, so that I understand how my remaining leave converts into pay.
REQ-PY-6	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to see a breakdown of bonuses (performance, sign-on, retention, or project-based), so that I can confirm that all entitled bonuses are included in my salary.
REQ-PY-7	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to see transportation or commuting compensation, so that I know my travel-related costs are covered.
REQ-PY-8	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to see detailed tax deductions (income tax, social contributions, etc.) along with the law or rule applied, so that I understand how my taxable salary is calculated.
REQ-PY-9	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to see insurance deductions (health, pension, unemployment, etc.) itemized, so that I know what protections are covered by my contributions.
REQ-PY-10	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to see any salary deductions due to misconduct or unapproved absenteeism, so that I know why part of my salary was reduced.

Requirement ID	Epic	User Story Summary
REQ-PY-11	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to see deductions for unpaid leave days, so that I understand how my time off affects my salary.
REQ-PY-12	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to see adjustments for any prior salary overpayments being recovered, so that I can track corrections made by payroll.
REQ-PY-13	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to access my salary history so that I can track payments over time.
REQ-PY-14	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to view employer contributions (insurance, pension, allowances) so that I know my full benefits.
REQ-PY-15	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to download tax documents (e.g., annual tax statement) so that I can use them for official purposes.
REQ-PY-16	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to dispute payroll errors (like over-deductions or missing bonuses), so that they are corrected promptly.
REQ-PY-17	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to submit expense reimbursement claims, so that I can recover money I spent on business purposes.
REQ-PY-18	Payroll Tracking, Transparency & Employee Self-Service	As an Employee, I want to track the approval and payment status of my claims, so that I know when I'll be reimbursed.
REQ-PY-19	Payroll Tracking, Transparency & Employee Self-Service	As a Legal & Policy Admin, I want to access an audit log of all payroll actions (e.g., changes in salary, deductions, overrides) so that I can investigate discrepancies or potential fraud.
REQ-PY-20	Payroll Tracking, Transparency & Employee Self-Service	As a Legal & Policy Admin, I want to see who approved or modified payroll entries so that accountability is maintained.
REQ-PY-21	Payroll Tracking, Transparency & Employee Self-Service	As a Legal & Policy Admin, I want to generate compliance reports (tax filings, insurance contributions, labor law adherence) so that I can provide documentation to authorities if required.

Requirement ID	Epic	User Story Summary
REQ-PY-22	Payroll Tracking, Transparency & Employee Self-Service	As a Legal & Policy Admin, I want to see timestamps and responsible users for every payroll action so that I can establish accountability.
REQ-PY-23	Payroll Tracking, Transparency & Employee Self-Service	As a Legal & Policy Admin, I want to view a detailed audit log of all payroll modifications so that I can verify accountability.
REQ-PY-24	Payroll Tracking, Transparency & Employee Self-Service	As Finance Staff, I want to reconcile payroll expenses across multiple currencies, so that consolidated financial reports are accurate.
REQ-PY-25	Payroll Tracking, Transparency & Employee Self-Service	As Finance Staff, I want to record taxes, insurance contributions, and benefits as liabilities, so that accounting books are compliant.
REQ-PY-26	Payroll Tracking, Transparency & Employee Self-Service	As Finance Staff, I want to update financial statements with payroll data, so that company accounts reflect real labor costs.
REQ-PY-27	Payroll Tracking, Transparency & Employee Self-Service	As Finance Staff, I want to reconcile payroll with bank statements, so that inconsistencies are identified quickly.
REQ-PY-28	Payroll Tracking, Transparency & Employee Self-Service	As Finance Staff, I want to allocate payroll expenses across departments or projects, so that cost centers are accurately tracked.
REQ-PY-29	Payroll Tracking, Transparency & Employee Self-Service	As Finance Staff, I want to generate month-end and year-end payroll summaries, so that audits and reporting are simplified.
REQ-PY-30	Payroll Tracking, Transparency & Employee Self-Service	As Finance Staff, I want to maintain records of all payroll-related transactions, so that financial audits can be supported.
REQ-PY-31	Payroll Tracking, Transparency & Employee Self-Service	As Finance Staff, I want to create payroll provisioning for bonuses, insurance, and retirement funds, so that liabilities are planned ahead.
REQ-PY-32	Payroll Tracking, Transparency & Employee Self-Service	As Finance Staff, I want to generate variance reports comparing forecasted vs. actual payroll costs, so that financial planning improves.

Requirement ID	Epic	User Story Summary
REQ-PY-33	Payroll Tracking, Transparency & Employee Self-Service	As Finance Staff, I want to track cash flow impact of payroll runs, so that liquidity is well managed.
REQ-PY-34	Payroll Tracking, Transparency & Employee Self-Service	As a System Admin, I want to maintain audit logs of all payslip views/downloads so that traceability is ensured.
REQ-PY-35	Payroll Tracking, Transparency & Employee Self-Service	As a System Admin, I want to anonymize payslip data for reporting so that sensitive employee information is protected.
REQ-PY-36	Payroll Tracking, Transparency & Employee Self-Service	As a System Admin, I want to implement disaster recovery (backup/restore) for payslip history so that no data is lost.
REQ-PY-37	Payroll Tracking, Transparency & Employee Self-Service	As a System Admin, I want to ensure GDPR/local data protection compliance for employee payslips so that the system avoids penalties.
REQ-PY-38	Payroll Tracking, Transparency & Employee Self-Service	As a Payroll Specialist, I want to generate payroll reports by department, cost center, or entity, so that I can analyze salary distribution and ensure budget alignment.

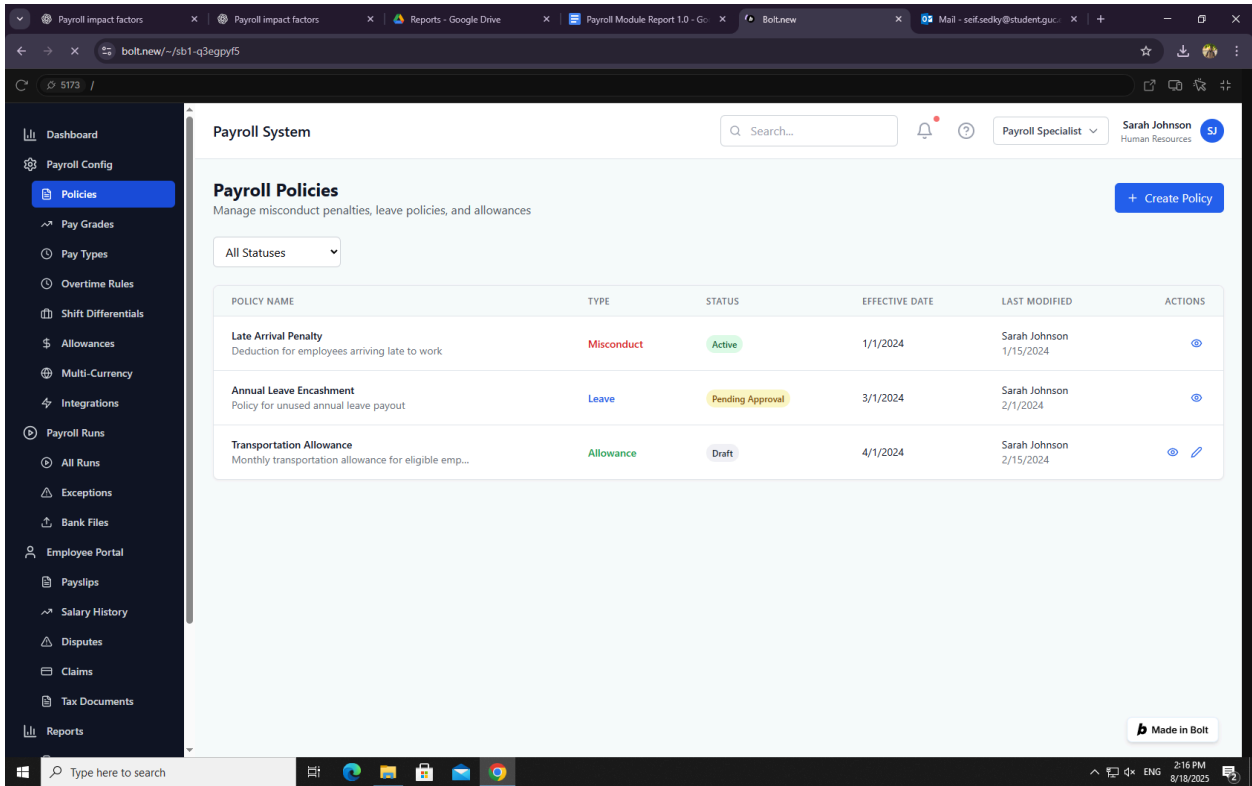
Business Rules

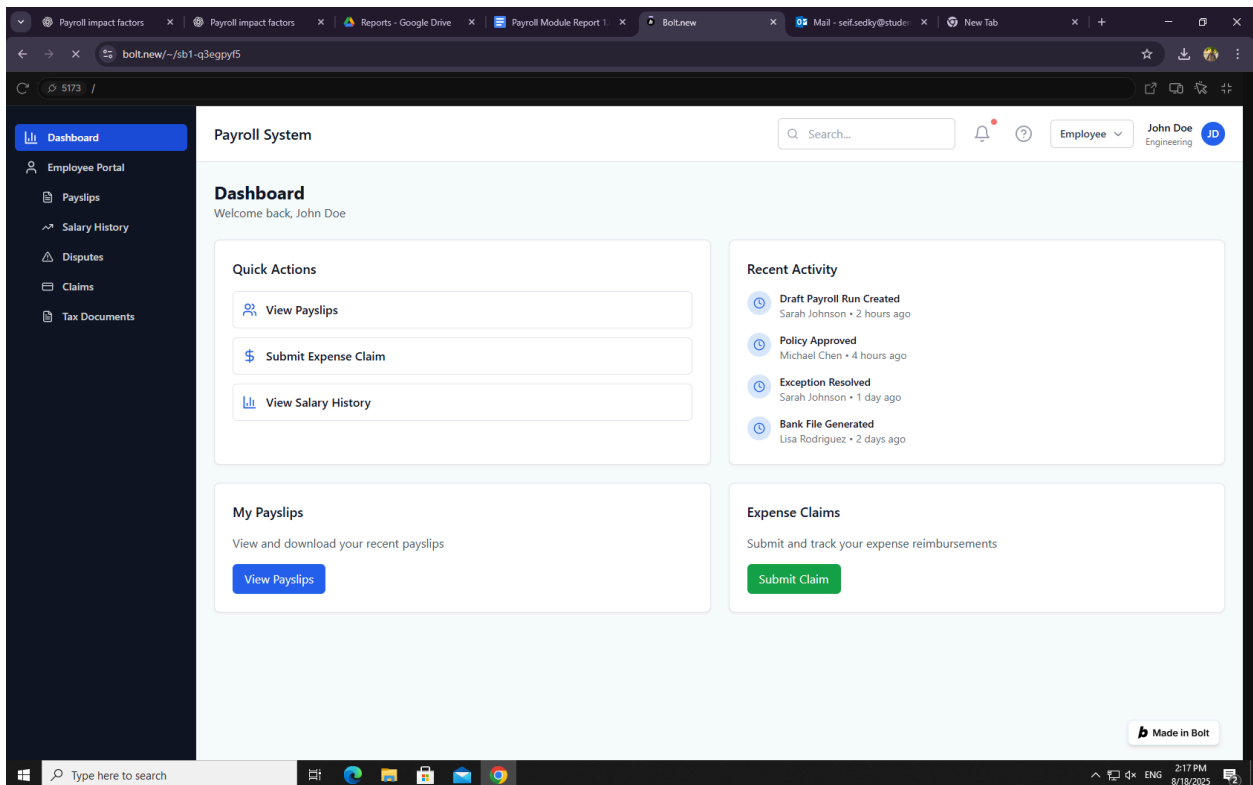
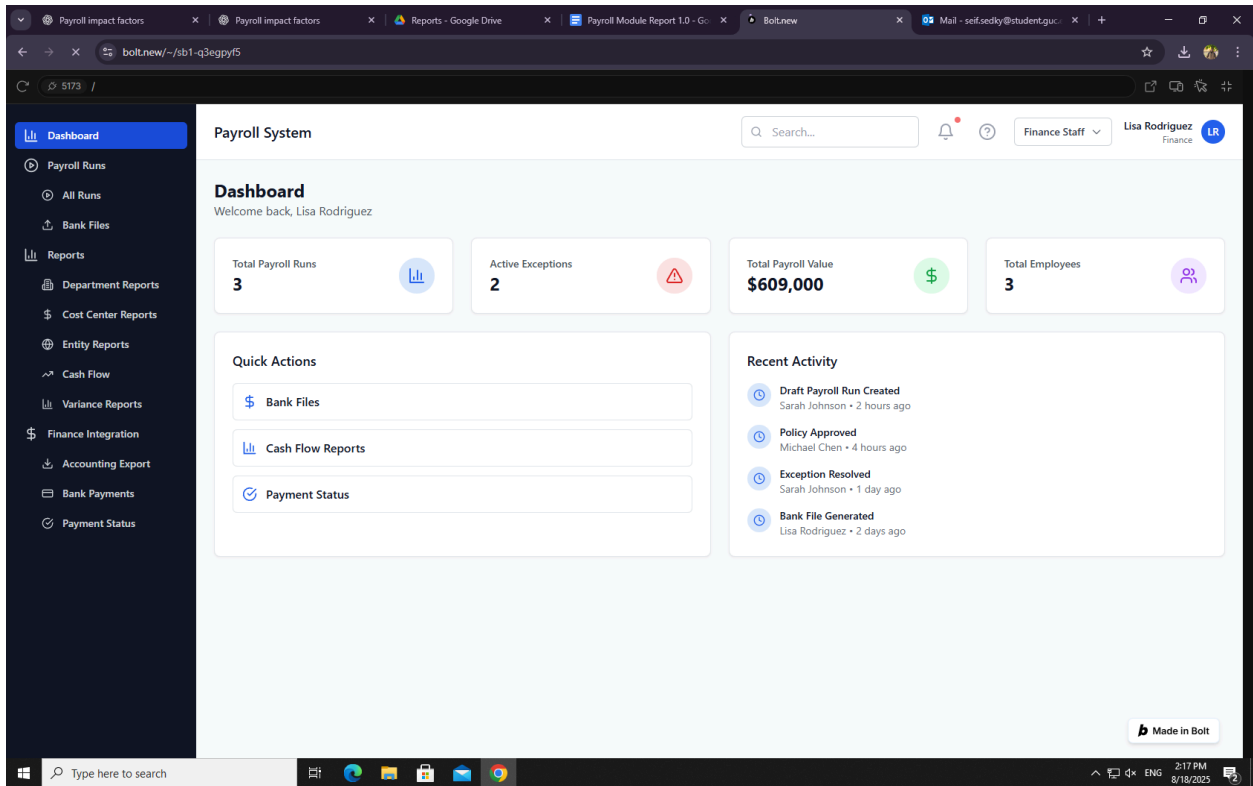
The link below contains business rules.

[Business Rules](#)

Proposed Wireframe

[LINK FOR FULL ACCESS](#)





Proposed Test Cases

Test Case ID	Test Scenario	Test Steps	Expected Result
CFG-01	Configure company-level payroll policies	1) Log in as Payroll Specialist. 2) Navigate to Payroll → Policies. 3) Create a policy "Misconduct Penalty" with rule and percentage; create Leave Policy; create Allowance type. 4) Save and publish. 5) Attempt to apply a policy-restricted action in a simulated payroll run.	Policies saved, visible in list with status "Active". Simulated payroll respects rules (e.g., misconduct deduction applied), and policy change recorded in audit log.
CFG-02	Define pay grades, salary bands, limits	1) Log in as Payroll Specialist. 2) Go to Compensation → Pay Grades. 3) Create Grade A (min, mid, max). 4) Assign sample employee to Grade A. 5) Attempt to set salary above Grade A max for that employee.	Pay grade definition saved; system prevents saving salary above defined max and shows validation error. Assignment persists; audit entry created.
CFG-03	Configure escalation workflow for threshold breaches	1) Login as Payroll Specialist. 2) Create an escalation: if deduction > X% then require HR approval. 3) Create payroll draft with deduction exceeding threshold. 4) Submit payroll run for approval.	Payroll run gets status "Pending HR Approval". HR receives notification and cannot finalize without approval; escalation events logged.
CFG-04	Enforce caps on leave, overtime, bonuses	1) Define caps: Overtime cap/month = Y hours; Bonus cap = Z amount. 2) Enter time/bonuses exceeding caps in test employee. 3) Run payroll simulation.	System caps calculated amounts to defined maxima, flags exceptions and records why amounts were capped.
CFG-05	Define employee pay types	1) Create pay types: hourly, monthly, contract. 2) Create employees for each type with contract definitions. 3) Enter timecard for hourly employee and run payroll simulation.	Hourly employee paid based on hours × rate; monthly paid fixed salary; contract-based follows contract rules. Each pay type calculation is correct and audit logged.
CFG-06	Configure overtime multipliers	1) Define multipliers: weekday 1.25, weekend 1.5, holiday 2.0. 2) Enter sample hours across day types. 3) Run simulation.	Overtime calculations apply the correct multiplier per day type; totals match expected formula;

			exceptions flagged if rules overlap.
CFG-07	Configure shift differentials / allowances	1) Create night shift differential rule (+20%) and hazardous allowance fixed monthly. 2) Assign to an employee with night shift schedule. 3) Run payroll simulation.	Employee receives differential and allowance in earnings breakdown; values match expected percentages/amounts; visible in policy screen and audit.
CFG-08	Enable multi-currency payroll support	1) Add currencies USD, EUR, local. 2) Create employees in different currencies with exchange config. 3) Run payroll simulation and generate payment file.	System calculates in local currency and converts where required; multi-currency payslips and bank instructions produced with correct conversion and currency tags.
CFG-09	Add new integrated elements affecting payslips	1) Add integration element (e.g., external bonus feed API). 2) Map feed field to payroll allowance. 3) Run integration sync and simulate payroll.	External elements populate payslip fields correctly; mapping works; errors from feed are surfaced; integration call and result are logged.
CFG-10	Define progressive tax rules and exemptions	1) Login as Legal & Policy Admin. 2) Create progressive tax bands and an exemption rule. 3) Assign to country and employee sample. 4) Run payroll simulation.	Tax calculated per bands; exemptions applied correctly; tax lines show law reference; audit entry created.
CFG-11	Define country-specific tax rule sets	1) Create tax rule set for Country A and Country B with differing bands/exemptions. 2) Assign employees to each country. 3) Run simulations.	Each country's payroll uses its corresponding rules; cross-country employees pick correct rule; UI shows rule-country mapping.
CFG-12	Update legal rules when laws change	1) Edit an existing tax rate and effective date. 2) Simulate payroll for date before change and after change. 3) Verify effect on calculations.	Prior payrolls use old rules; payrolls from effective date use new rules. System records rule versioning and effective-dates in history.
CFG-13	Create and manage user	1) Log in as System Admin. 2) Create roles (Payroll Specialist, HR Manager, Finance). 3) Create users	Users created, roles applied. Unauthorized actions blocked

	accounts & roles	and assign roles. 4) Attempt restricted actions as a role without permission.	with proper error messages; role assignments logged.
CFG-14	Set permissions for view/edit/approve	1) System Admin configures permission matrix. 2) As Payroll Specialist, attempt edit; as Finance, attempt approve. 3) Attempt cross-permission action.	Permission enforcement works: only approved roles can edit/approve/view; attempts are denied and logged.
CFG-15	Configure company-wide settings	1) Set global pay date, timezone, and default currency. 2) Create payroll cycle and run scheduler. 3) Create employees in other timezones.	Payroll runs align to configured pay date/timezone; currency defaults applied; cross-timezone calculations consistent.
CFG-16	Backup payroll configuration data	1) Trigger manual backup and verify scheduled backups. 2) Simulate corruption of config then restore from backup.	Backup files created and downloadable; restore replaces corrupted config and system returns to previous state; restore logged.
CFG-17	Apply updates and fixes safely	1) Deploy a patch in sandbox; run regression tests on payroll config. 2) Deploy to production during maintenance window. 3) Verify critical config behavior unchanged.	Updates applied; no data loss; change log shows update; rollback possible and tested.
CFG-18	Configure Payroll Initiation Rules	1) Log in as Payroll Specialist. 2) Navigate to Payroll → Policies. 3) Define rules for payroll initiation (cycle, cut-off date, frequency). 4) Save.	System saves initiation rules and validates no conflicts with pay cycles.
CFG-19	Configure Signing Bonus Policy	1) Log in as Payroll Specialist. 2) Navigate to Payroll → Compensation → Bonuses. 3) Create rule for signing bonus (amount/percentage, eligibility). 4) Save.	System stores signing bonus configuration and applies only to eligible employees.

CFG-20	Configure Resignation Benefits	1) Log in as Payroll Specialist. 2) Navigate to Payroll → Benefits. 3) Define resignation benefits rules (notice period, gratuity formula, deductions). 4) Save.	System saves rules and aligns with business/legal contracts.
CFG-21	Configure Termination Benefits	1) Log in as Payroll Specialist. 2) Navigate to Payroll → Benefits. 3) Define termination benefit rules (cause-based, severance calculation). 4) Save.	System stores termination benefit rules and validates compliance with policy.

Test Case ID	Test Scenario	Test Steps	Expected Result
PRC-01	Run payroll initiation automatically	1) Log in as Payroll Specialist. 2) Navigate to Payroll → Run. 3) Select “Initiate Payroll”. 4) Confirm process.	Payroll process initiates automatically.
PRC-02	Review processed payroll initiation	1) Log in as Payroll Specialist. 2) Open processed payroll. 3) Review details. 4) Approve or reject.	Payroll reviewed and approval recorded.
PRC-03	Manually edit payroll initiation	1) Log in as Payroll Specialist. 2) Open payroll record. 3) Modify data. 4) Save changes.	Manual edits applied successfully.
PRC-04	Run payroll adjustments automatically	1) Log in as Payroll Specialist. 2) Select payroll adjustments. 3) Execute process.	Adjustments applied automatically.
PRC-05	Review payroll adjustments	1) Log in as Payroll Specialist. 2) Review adjustment record. 3) Approve or reject.	Adjustments reviewed and recorded.
PRC-06	Manually edit payroll adjustments	1) Log in as Payroll Specialist. 2) Open adjustment. 3) Modify data. 4) Save changes.	Manual edits applied successfully.
PRC-07	Run overtime payments automatically	1) Log in as Payroll Specialist. 2) Select overtime processing. 3) Execute.	Overtime processed automatically.

PRC-08	Review overtime payments	1) Log in as Payroll Specialist. 2) Review overtime record. 3) Approve or reject.	Overtime reviewed and approval recorded.
PRC-09	Manually edit overtime payments	1) Log in as Payroll Specialist. 2) Open overtime record. 3) Modify data. 4) Save.	Manual edits saved.
PRC-10	Run leave encashment automatically	1) Log in as Payroll Specialist. 2) Select leave encashment. 3) Execute process.	Leave encashment processed.
PRC-11	Review leave encashment	1) Log in as Payroll Specialist. 2) Review encashment record. 3) Approve or reject.	Review completed.
PRC-12	Manually edit leave encashment	1) Log in as Payroll Specialist. 2) Modify encashment record. 3) Save changes.	Manual edits saved.
PRC-13	Run loan deductions automatically	1) Log in as Payroll Specialist. 2) Select loan deductions. 3) Execute.	Loan deductions processed.
PRC-14	Review loan deductions	1) Log in as Payroll Specialist. 2) Review loan deduction record. 3) Approve or reject.	Review completed.
PRC-15	Manually edit loan deductions	1) Log in as Payroll Specialist. 2) Modify loan record. 3) Save changes.	Manual edits applied.

PRC-16	Run salary advances automatically	1) Log in as Payroll Specialist. 2) Select salary advance. 3) Execute.	Salary advances processed.
PRC-17	Review salary advances	1) Log in as Payroll Specialist. 2) Review advance record. 3) Approve or reject.	Review completed.
PRC-18	Manually edit salary advances	1) Log in as Payroll Specialist. 2) Modify advance record. 3) Save changes.	Manual edits applied.
PRC-19	Run allowances automatically	1) Log in as Payroll Specialist. 2) Select allowance processing. 3) Execute.	Allowances processed.
PRC-20	Review allowances	1) Log in as Payroll Specialist. 2) Review allowance record. 3) Approve or reject.	Review completed.
PRC-21	Review processed payroll initiation	1) Log in as Payroll Specialist. 2) Open processed payroll. 3) Review details. 4) Approve or reject.	Approval recorded.
PRC-22	Manually edit payroll initiation	1) Log in as Payroll Specialist. 2) Open payroll record. 3) Modify fields. 4) Save changes.	Edits applied successfully.
PRC-23	Review processed signing bonuses	1) Log in as Payroll Specialist. 2) Open signing bonus record. 3) Review. 4) Approve or reject.	Approval recorded.

PRC-24	Manually edit signing bonuses	1) Log in as Payroll Specialist. 2) Open bonus record. 3) Modify details. 4) Save.	Edits applied successfully.
PRC-25	Review processed resignation benefits	1) Log in as Payroll Specialist. 2) Open resignation benefits record. 3) Review. 4) Approve or reject.	Approval recorded.
PRC-26	Manually edit resignation benefits	1) Log in as Payroll Specialist. 2) Open resignation benefits. 3) Modify. 4) Save.	Edits applied successfully.
PRC-27	Review processed termination benefits	1) Log in as Payroll Specialist. 2) Open termination benefits record. 3) Review. 4) Approve or reject.	Approval recorded.
PRC-28	Manually edit termination benefits	1) Log in as Payroll Specialist. 2) Open termination benefits. 3) Modify details. 4) Save.	Edits applied successfully.

Test Case ID	Test Scenario	Test Steps	Expected Result
TRK-01	Employee can view & download payslip	1) Employee logs in. 2) Navigate to Payslips. 3) Open current period payslip, verify breakdown. 4) Click Download PDF.	Payslip displays full breakdown; PDF downloads and matches portal view; access logged.
TRK-02	Employee sees real-time payslip status	1) After payroll finalize, employee checks payslip status during cycle. 2) Observe statuses change (pending → under review → processed → paid).	Status updates in near-real-time; timestamps shown; employee notified on key transitions.
TRK-03	Display base salary by contract type	1) View payslip for full-time, part-time, temp employees. 2) Verify base salary line and contract-type label.	Base salary matches employee contract; payslip shows contract type and calculation basis.
TRK-04	Show shares/profit-sharing payouts	1) Add profit-sharing entry for employee. 2) Finalize payroll and view payslip.	Shares/profit lines appear with description and payout date; tax treatment indicated.
TRK-05	Show leave encashment/compensation	1) Mark unused leave encashment for employee. 2) Finalize payroll and open payslip.	Encashment shown as separate line, with calculation and remaining leave balance updated.
TRK-06	Show bonus breakdown	1) Add multiple bonuses types (performance, sign-on). 2) Finalize payroll and view payslip.	Bonuses presented as separate lines with type, reason and amount; total bonus sum correct.
TRK-07	Show transportation/commuting compensation	1) Add transportation allowance to employee. 2) Verify payslip displays allowance.	Transportation allowance appears with frequency (monthly/one-off) and amount.
TRK-08	Show detailed tax deductions with law reference	1) Configure tax law reference. 2) Run payroll and open payslip.	Tax lines include type, amount, and law/regulation reference; calculations match expected tax formula.
TRK-09	Show itemized insurance contributions	1) Run payroll with insurance/pension deductions. 2) View payslip breakdown.	Insurance contributions itemized by type with employee/employer shares visible.
TRK-10	Display misconduct/abs	1) Apply misconduct deduction to employee. 2) Finalize payroll and view payslip.	Deduction appears with reason and policy reference; employee notified and logged.

Test Case ID	Test Scenario	Test Steps	Expected Result
	enteeism deductions		
TRK-11	Display unpaid leave deductions	1) Mark unpaid leave days in attendance. 2) Run payroll and view payslip.	Unpaid leave deductions applied and visible with day count and amount.
TRK-12	Show overpayment recovery adjustments	1) Create overpayment recovery schedule. 2) Run payroll and view payslip.	Recovery line shows original overpayment reference, recovery amount, and remaining balance.
TRK-13	Employee access to salary history	1) Employee navigates to Salary History. 2) Filter by year/month and export range.	Historical payslips listed, filterable, downloadable; data matches stored payslips.
TRK-14	View employer contributions	1) Run payroll including employer shares. 2) Employee checks employer contribution section.	Employer contributions displayed, separated from employee deductions, with totals for reporting.
TRK-15	Download tax documents (annual)	1) End-of-year report generation. 2) Employee downloads tax statement from portal.	Tax document generated with totals and legal text; downloadable PDF matches expected format.
TRK-16	Submit payroll dispute	1) Employee selects payslip line and creates dispute with description and attachment. 2) Submit. 3) Track status.	Dispute ticket created with unique ID, status "Submitted", routed to Payroll Specialist, notifications sent.
TRK-17	Submit expense reimbursement claim	1) Employee fills expense claim form, uploads receipts, chooses cost center. 2) Submit for approval.	Claim created with status "Pending Approval", amount validated against policy; notification sent to approver.
TRK-18	Track claim approval & payment status	1) Employee checks claim status after each workflow step. 2) Approver approves and finance marks paid.	Status transitions visible (Pending → Approved → Paid); employee notified at each step and payment date shown.

Test Case ID	Test Scenario	Test Steps	Expected Result
TRK-19	Legal: access audit log of payroll actions	1) Legal admin searches audit by employee, action, date. 2) Export results for investigation.	Audit shows changes, before/after values, who performed action, timestamps; exportable and tamper-evident.
TRK-20	Legal: see who approved/modified entries	1) Open payroll entry history. 2) Verify approver/modifier details.	Each payroll entry shows approver/modifier name, role, reason and timestamp.
TRK-21	Legal: generate compliance reports	1) Request tax/insurance compliance report for period. 2) Generate and export.	Report produced with required fields per jurisdiction, signed/dated, and ready for submission.
TRK-22	Legal: timestamp & responsible user visibility	1) Inspect a payroll action and its metadata.	Every action displays accurate timestamp and responsible user; cross-checked with audit log.
TRK-23	Legal: detailed audit log of modifications	1) Query log for modifications to payroll policy. 2) Validate change entries (old/new values).	Log shows every modification, changed fields, user, reason, and links to affected payroll runs.
TRK-24	Finance: reconcile payroll across currencies	1) Pull payroll export with multi-currency transactions. 2) Run reconciliation with consolidated ledger.	System provides per-currency totals, FX rates used, and converted consolidated totals; differences flagged.
TRK-25	Finance: record taxes & benefits as liabilities	1) Generate ledger entries post-payroll. 2) Inspect liability accounts.	Taxes/benefits posted as liabilities in GL; supporting detail available for audit.
TRK-26	Finance: forecast labor costs	1) Produce forecast using current run + recurring costs. 2) Include bonuses/profit sharing scenarios.	Forecast shows expected liabilities and cash flow impact; scenario comparison view available.
TRK-27	Finance: update financial statements with payroll data	1) Export payroll journal and import to accounting system. 2) Verify P&L and balance sheet updated.	Accounting entries applied correctly; payroll impact visible in financial statements.

Test Case ID	Test Scenario	Test Steps	Expected Result
TRK-28	Finance: reconcile payroll with bank statements	1) Import bank statement and match payments to payroll records. 2) Investigate mismatches.	Bank statement reconciles against payroll payment records; mismatches generate reconciliation tasks.
TRK-29	Finance: allocate payroll across cost centers	1) Assign employee cost centers. 2) Run allocation rules in payroll export.	Payroll expenses allocated across departments/projects per mapping; reports reflect allocations.
TRK-30	Finance: generate month-end & year-end summaries	1) Generate summary for month/year. 2) Export to PDF/Excel.	Accurate summaries with totals by category and drill-down available; export includes supporting details.
TRK-31	Finance: maintain payroll transaction records	1) Query historical payroll transactions. 2) Export for audit.	All payroll transactions retained per retention policy and exportable; chain of custody maintained.
TRK-32	Finance: create payroll provisioning	1) Create provisioning schedule for bonuses/insurance. 2) Generate accounting entries.	Provisions calculated, posted as liabilities and can be reversed when paid.
TRK-33	Finance: generate variance reports	1) Compare forecast vs actual payroll costs for period. 2) Generate variance report.	Variance report shows deltas with explanations/notes for major variances.
TRK-34	Finance: track cash flow impact	1) Generate cash-flow view incorporating payroll runs. 2) Simulate future payroll runs.	Cash flow report shows forecasted payroll outflows and impact on liquidity; alerts if shortfall predicted.
TRK-35	System Admin: maintain audit logs of payslip access	1) Access audit log for a given payslip. 2) Verify who viewed/downloaded and timestamps.	Payslip view/download events are recorded with user, IP (if available), timestamp and exportable audit records.
TRK-36	System Admin: anonymize payslip data for reporting	1) Generate anonymized payroll report with PII redacted/pseudonymized. 2) Verify no PII present.	Anonymized report contains required aggregates but no direct identifiers; anonymization method documented.

Test Case ID	Test Scenario	Test Steps	Expected Result
TRK-37	System Admin: implement disaster recovery for payslip history	1) Backup payslip history. 2) Simulate data loss and perform restore. 3) Validate data integrity post-restore.	Backup/restore completes successfully; restored data matches pre-loss state and is accessible to authorized users.
TRK-38	System Admin: ensure GDPR/local compliance for payslips	1) Verify data subject access request process for payslips. 2) Execute deletion/anonymization per policy. 3) Validate consent/processing records.	System supports DSAR, retention and deletion policies; consent and processing logs present; compliance report generated.
TRK-39	Generate payroll report by department/cost center/entity	1) Payroll Specialist selects report type and filters. 2) Clicks _Generate Report_.	The report shows correct salary distribution and totals.
TRK-40	Payslip preview updates after related change	1) Employee views payslip preview. 2) HR/Payroll updates bonus/leave. 3) change payroll status from processing to reviewing 4) Employee refreshes preview.	Payslip updates instantly with correct net salary.